

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle, June 26

1. Executive Summary

Three signals are turning from grey to red:

- **DAO legal wrapper** — Member liability shield (Ooki DAO precedent), DAO bank account, governance clarity for TDG holders
- **Tax-deductible donation channel** — Impact funds, corporate ESG, foundations need a 501(c)(3) to write checks
- **Personal bank account** — Gary's personal account is the bottleneck

The core insight

TrueTech Inc is just another DAO member. It contributes voluntarily (import, distribution, bank custody) and gets compensated in TDG — same as Nora, Kirsten, Matheus, or any other partner. No service agreement needed. No principal-agent complexity.

Recommended structure: Two-entity stack

Wyoming DUNA (nonprofit, DAO legal wrapper) ↔ TrueTech Inc (DAO member, voluntary contributor) ↔ Brazilian LTDA (export/sourcing entity)

TDG holders govern the DUNA. TrueTech Inc is one voice among many.

2. Current State Assessment

Financial Flows (Current)

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc (DE C-corp) → Gary's personal bank account → DAO treasury

Key Risks

- **Personal liability** — Gary's personal account commingles DAO funds
- **No member liability shield** — Token holders could be treated as general partners (Ooki DAO precedent)
- **No tax-advantaged donation pathway** — Impact funds have no channel
- **Governance ambiguity** — TDG holders can't answer "what entity am I voting on?"

Ledger Snapshot

- Cumulative sales: ~\$15,736 USD
- Monthly run rate: ~\$500-1,100/month
- Treasury Balance: ~\$14,622
- TDG issued: ~2.3M tokens
- Partners: Nora, Kirsten, Matheus, Edge & Node, Shuar Design Boutique

3. Option Analysis

Option A: Wyoming DUNA (Recommended)

Dimension	Detail
Liability	Members shielded from personal liability
Tax status	Nonprofit; can apply for 501(c)(3)
Governance	Smart contract voting recognized by law
Min members	100 (UNA has no minimum)
Profit distribution	Not allowed — mission reinvestment only
Formation cost (OtoCo)	~\$50 gas, auto-converts to DUNA at 100 members
Formation cost (full-service)	\$20K-\$60K
Annual cost	\$60-\$200/yr

Pros: Mission alignment, tax-deductible donations, clean governance story, OtoCo path is near-free

Cons: No profit distribution to TDG holders, 100-member minimum for DUNA, 501(c)(3) takes 6-12 months

Option B: Wyoming DAO LLC

Pros: Can distribute profits, no minimum members, lower legal fees

Cons: Cannot issue tax-deductible receipts, less mission-aligned, unclear governance story

Option C: Brazilian CNPJ (LTDA)

Pros: Formalizes exports, Brazilian tax compliance, farmer contracting

Cons: Bureaucratic, ongoing compliance burden, doesn't solve US problems

4. The Simplified Model

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■ DUNA (Wyoming) ■

■ • DAO legal wrapper ■

■ • Holds mission, brand, carbon credits ■

■ • Governed by all TDG holders ■

- • Can apply for 501(c)(3) tax exemption ■

■ • TrueTech Inc = one member among many ■

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■ TrueTech Inc ■ ■ Brazilian LTDA (CNPJ) ■

■ (DE C-corp) ■ ■ • Export entity ■

■ • DAO member ■ ■ • Farmer payments ■

■ • Import/dist ■ ■ • Brazilian compliance ■

■ • Bank custody ■ ■ • Owned by DUNA ■

■ • TDG comp ■

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Key Relationships

Relationship	Type	Detail
DUNA ↔ TrueTech Inc	Member	TrueTech Inc contributes voluntarily, compensated in TDG
DUNA ↔ Brazilian LTDA	Ownership	DUNA owns or affiliates with the Brazilian entity
TrueTech Inc ↔ TDG holders	Peer	TrueTech Inc holds TDG like any other member

5. Cost Analysis

Path A: OtoCo On-Chain UNA → DUNA (Recommended)

Item	Cost
OtoCo smart contract creation (2+ wallets)	~\$50 gas
UNA agreement (auto-converts to DUNA)	Included
Annual Wyoming license tax	\$60-\$200/yr
Registered agent	\$100-\$200/yr
Total Year 1	~\$250-\$500

Path B: Full DUNA via Law Firm

Item	Cost
State filing	\$100
Legal fees	\$20,000-\$60,000
Annual costs	\$200-\$400/yr
Total Year 1	~\$20,500-\$60,500

Path C: Brazilian LTDA

Item	Cost
Formation	\$1,000-\$3,000
Annual compliance	\$500-\$2,000/yr

Path D: 501(c)(3) Application (Downstream)

Item	Cost
Tax attorney	\$2,000-\$10,000
IRS filing fee	\$600-\$2,500
Timeline	6-12 months

6. Resource Gap Analysis

What We Have

- Mission clarity (10,000 hectares)
- On-chain governance (TDG, Edgar API)
- Physical supply chain (Brazil → US → retail)

- Tree-planting pipeline (sunmint, lineage-credentials)
- Partner network (Nora, Kirsten, Matheus)
- Technical infrastructure (AWS, QR inventory)
- SVH Capital connection (June 26)

What We're Missing

Gap	Severity	Cost
Legal counsel	■ Critical	\$50 (OtoCo) or \$20K-\$60K (full-service)
Cash for full-service legal	■ Medium	\$0 (OtoCo path avoids this)
100 DUNA members	■ Medium	\$0 (use UNA workaround)
501(c)(3) expertise	■ Medium	\$2K-\$10K
Brazilian legal rep	■ Medium	\$1K-\$3K
Multi-entity accounting	■ Low	\$2K-\$5K/yr
TrueTech Inc bank account	■ Low	\$0-\$500

Total cash needed for Year 1 (OtoCo path): ~\$500-\$2,500 — well within treasury.

7. Implementation Timeline

Phase	What	Cost	Timeline
Now	Open TrueTech Inc business bank account	\$0-500	1-2 weeks
Now	Summon OtoCo on-chain UNA (2 wallets)	~\$50 gas	1 day
Next	Use UNA to open DAO bank account	\$0	2-4 weeks
June 26	Ask SVH Capital about DUNA + counsel referrals	\$0	One conversation
Next	Engage Wyoming DAO lawyer (via SVH referral)	\$5K-15K	After SVH
Later	UNA auto-converts to DUNA at 100 members	\$0	Automatic
Later	Form Brazilian LTDA	\$1K-3K	4-8 weeks
Later	501(c)(3) application	\$2K-10K	6-12 months

8. Questions for SVH Capital (June 26)

Primary

1. **DUNA formation:** Can you refer us to a Wyoming law firm specializing in DUNA formation for DAOs?
2. **OtoCo viability:** Is the on-chain UNA → DUNA path sufficient for our stage?
3. **Governance clarity:** Can a Wyoming DUNA issue TDG tokens to a for-profit C-corp as member compensation?
4. **501(c)(3) pathway:** Realistic timeline and cost for IRS exemption for a DAO that plants trees?
5. **Brazilian entity:** Can a Wyoming DUNA own or affiliate with a Brazilian LTDA?
6. **TDG as compensation:** Would your referred counsel consider a partial TDG token grant?

Secondary

7. What do impact funds look for in a DAO's legal structure?
8. How should the DUNA structure carbon credit rights?
9. Is there a practical upper limit on DUNA members before compliance complexity increases?

9. Clarifying Questions for the DAO

1. Should TDG tokens represent membership in the DUNA directly, or a separate membership token?
2. Is TrueTech Inc comfortable being a DAO member compensated in TDG, with no separate service agreement?
3. Should the DUNA own the Brazilian LTDA directly, or via a separate holding entity?
4. Apply for 501(c)(3) immediately after DUNA, or wait for a donation track record?
5. Carbon credits: asset of the DUNA (mission-locked) or TrueTech Inc (tradeable)?

10. Risks and Mitigations

Risk	Likelihood	Impact	Mitigation
OtoCo UNA not recognized by banks	Medium	High	Use TrueTech Inc account as custodian interim
IRS denies 501(c)(3) for DAO	Low	High	Clear charitable purpose; crypto-nonprofit precedent exists
Wyoming DUNA law changes	Low	Medium	Monitor; Wyoming is pro-DAO
Brazilian LTDA delays	Medium	Low	Matheus continues using private entity interim

Risk	Likelihood	Impact	Mitigation
TDG as security	Low	High	DUNA membership tokens generally not securities

This proposal was generated by Sophia (TrueSight DAO Autopilot). Not legal advice. Consult qualified counsel before forming any entity.